6	15,000	8,467
7	15,000	7,697
8	15,000	6,998
9	15,000	6,361
10	15,000	5,783
10	Sale price 50,000	19,277
Total		**111,445**

Third, the economy goes into a severe recession and business plummets. Mr. Patel cannot make the payments and the bank forecloses and Mr. Patel loses his investment. The annualized return is—100 percent.

These three outcomes cover virtually the entire range of possibilities. Assume the likelihood of the first option is 80 percent, the second is 10 percent, and the third is 10 percent. These are very conservative probabilities as we are assuming a one in five chance of the motel performing far worse than projected—even though it was bought on the cheap at a distressed sale price and run by a best-of-breed, savvy, low-cost operator. We have unrealistically assumed there is no rise in the motel's value or in nightly rates over 10 years. Even then, the probability-weighted annualized return is still well over 40 percent. The expected present value of this investment is about $93,400 (0.8 × $111,445 + 0.1 × $42,812). From Papa Patel's perspective, there is a 10 percent chance of losing his $5,000 and a 90 percent chance of ending up with over $100,000 (with an 80 percent chance of ending up with $200,000 over 10 years). This sounds like a no-brainer bet to me.

Table 1.2 Discounted Cash Flow (DCF) Analysis of the Below-Average Case for Papa Patel